



**BUSINESS
PROFESSIONALS
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Giving Purpose to Potential



PAYROLL ACCOUNTING (125)

—Secondary—

STATE – 2020

Multiple Choice & Short Answer:

Multiple Choice (15 @ 2 points each) _____ (30 points)

Matching (8 @ 2 points each) _____ (16 points)

Short Answer (17 @ 2 points each) _____ (34 points)

Production:

Job 1: Calculating Payroll (46 @ 1 point each) _____ (46 points)

Job 2: Payroll Transaction (12 @ 2 point each) _____ (24 points)

TOTAL POINTS _____ ***(150 points)***

**Judge/Graders: Please double check and verify all
scores and answer keys!**

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Workplace Skills Assessment Program competition.

MULTIPLE CHOICE: (15 @ 2 points each=30 points)

1.	A
2.	B
3.	B
4.	A
5.	D
6.	A
7.	B
8.	C
9.	D
10.	C
11.	A
12.	D
13.	D
14.	A
15.	B

MATCHING: (8 @ 2 points each=16 points)

Form		Definition	Answer
A	W-2	1. Form that accompanies payment of unemployment tax deposits	<u>D</u>
B	W-3	2. Form that reports the previous year's earnings for all employees	<u>A</u>
C	W-4	3. Form sent to each employee stating their earnings and taxes paid the previous year	<u>G</u>
D	I-9	4. Form used to report quarterly payroll Federal Tax returns	<u>E</u>
E	941	5. Form sent from bank showing the amount of interest earned the previous year	<u>F</u>
F	1099-INT	6. Form sent to non-employees for income they earned the previous year from the company	<u>B</u>
G	1099-MISC	7. Form filled out by employee stating the withholdings for federal and state taxes	<u>C</u>
H	8109-B	8. Form filled out by employee stating they have the legal right to work in the United States	<u>H</u>

SHORT ANSWER: (17 @ 2 points each = 34 points)

- Robert works as a salesperson at a local retail store. He makes \$350 per week and is paid 14% commission on any sales he makes over \$1,000 per week. During the month Robert had \$1,800 in sales week one, \$1400 during week two, \$1770 during week three, and \$1550 during week four. What are Robert's gross earnings for the month?

\$ 1,752.80

- Handy Construction estimates that its laborers will collectively earn \$1,800,000 next year and its skilled workers will earn \$5,250,000. The firm pays the following rates for workers' compensation insurance: \$.84 per \$100 wages for the laborers and \$1.52 per \$100 of wages for its skilled workers. Compute the estimated premiums for the laborers and skilled workers.

Laborers	<u>\$15,120.00</u>
Skilled Workers	<u>\$79,800.00</u>

- Danielle is a salaried employee with an agreement with her employer that she will get paid \$2,150 biweekly for a 35-hour work week. She also gets paid overtime for any hours worked over 40 hours per week, but nothing for the hours worked between 35 and 40 hours. If Danielle works 46 hours and 41 hours respectively for the biweekly pay period, answer the following questions regarding this pay period.

Regular biweekly pay	<u>\$ 2,150.00</u>
Hourly Rate	<u>\$ 30.71</u>
Overtime Rate	<u>\$ 46.07</u>
Overtime Earnings	<u>\$ 322.49</u>
Total Earnings	<u>\$ 2,472.49</u>

- Johnny received his paycheck and was surprised that it was not the amount that he thought it would be. He worked 29 hours this past week and is paid \$11.50 per hour. He is exempt from paying federal and state income taxes but must pay social security and Medicare tax. Calculate his gross pay, social security tax, Medicare tax, and net pay.

Gross Pay	<u>\$ 333.50</u>
Social Security Tax	<u>\$ 20.68</u>
Medicare Tax	<u>\$ 4.84</u>
Net Pay	<u>\$ 307.98</u>

PAYROLL ACCOUNTING (S) - STATE 2020**ANSWER KEY****Page 4 of 5**

5. Christine has been offered a new job that pays her \$62,450 with these benefits: \$4,800 in pension contributions, \$1,800 in paid vacation time, \$600 in free parking, \$2,580 in paid holidays, \$800 in equipment, and \$2,400 in health insurance. Christine's job expenses for the new job total \$ 3,250. What is Christine's net job benefits?

\$ 72,180.00

6. Ricardo Diaz works two part-time jobs. At the first job he makes \$23,800 yearly. At the second job he makes \$12,400. How much will Ricardo pay into Social Security and Medicare for the year?

Social Security **\$ 2,244.40**Medicare **\$ 524.90**

7. James Dean and 35 other employees work at a company with a profit-sharing plan. All employees share 14.75% of the company's annual profits. This year the company had an annual profit of \$684,000.

How much will go into the profit-sharing fund? **\$ 100,890.00**How much will each employee receive from the fund? **\$ 2,802.50****JOB 1: CALCULATING PAYROLL** (1 point each bold answer = 46 points)

NAME	M	T	W	TH	F	Total Pieces	Rate per piece	Gross Pay	
Perez, E.	59	61	68	65	60	313	\$1.80	563.40	
West, R.	26	24	29	35	32	146	\$2.15	313.90	
Cannon, A.	64	61	60	60	55	300	\$1.75	525.00	
Pearson, G.	67	61	57	56	56	297	\$1.20	356.40	
Pettyjohn, A.	50	60	64	60	60	294	\$1.50	441.00	
NAME	Total Earnings		Fed Inc Tax		Social Security		Medicare	Total Deductions	Net Pay
Perez, E.	563.40		45.07		34.93		8.17	88.17	475.23
West, R.	313.90		25.11		19.46		4.55	49.12	264.78
Cannon, A.	525.00		42.00		32.55		7.61	82.16	442.84
Pearson, G.	356.40		28.51		22.10		5.17	55.78	300.62
Pettyjohn, A.	441.00		35.28		27.34		6.39	69.01	371.99
TOTALS	2,199.70		175.97		136.38		31.89	344.24	1,855.46

JOB 2: PAYMENT OF PAYROLL (12 @ 2 points each = 24 points)

NOTE TO GRADER: Accept “*Cash*” at the end or beginning of the credit section of the entry. Also, each textbook has a different variation of the account titles, so accept them as long as they have the word “*payable*” or “*expense*” in the account title.

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Date		Account Title	Doc No.	Post Ref	Debit	Credit
Feb	14	Salary Expense	C684		2,199.70	
		Employee Inc. Tax Payable				175.97
		Social Security Tax Payable				136.38
		Medicare Tax Payable				31.89
		Cash				1,855.46
(1 pt.)		(5 points)	(1 pt.)		(1 point)	(4 points)